

01 Actuarial advice

11 primary questions | Oldest to newest

2026 objectives: 1.1

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2007 Q8	20 marks
CA1-P1 April 2008 Q5	16 marks
CA1-P1 September 2008 Q1	7 marks
CA1-P1 September 2008 Q4	16 marks
CA1-P1 September 2009 Q3	10 marks
CA1-P1 September 2013 Q3	10 marks
CA1-P1 September 2015 Q2	9 marks
CA1-P1 April 2017 Q1	5 marks
CP1-P1 April 2020 Q8	12 marks
CP1-P1 April 2020 Q10	17 marks
CP1-P1 April 2021 Q5	9 marks

CA1-P1 | September 2007 | Q8

Current topic | 20 marks total | Original PDF p4

Examiner report and original paper: use the links for this question in index.html.

- 8**
- (i) State the information an actuary would need when undertaking a professional task for a new client. [2]
- (ii) Describe what a written agreement between an actuary and a new client would cover. [3]

An actuary has recently been appointed as the adviser to an established final salary pension scheme. On reviewing the documentation, the actuary discovers the following:

- The scheme pays high investment expenses to a company controlled by the sponsoring employer.
 - The scheme pays a service charge for administration to the sponsoring employer.
 - The scheme owns a large number of unquoted shares in companies based in developing countries.
 - The scheme shows loans to companies linked to the sponsoring employer as assets of the scheme.
 - Over recent years, the scheme has reported lower than average investment returns.
 - The employer pays lower contributions than are paid by employers with similar schemes.
- (iii) Explain whether the above features give cause for concern. [4]
- (iv) Discuss the issues the actuary may wish to investigate for each feature. [8]
- (v) Outline the initial actions that the actuary could take in response to any concerns. [3]

[Total 20]

CA1-P1 | April 2008 | Q5

Current topic | 16 marks total | Original PDF p4

Related: Ch 23, Ch 26.

- 5** The regulatory regime in a certain country requires each life insurance company to appoint a Pricing Actuary. The Pricing Actuary may be an employee of the company. The function of the Pricing Actuary is to certify that the company's premium rates are sufficient to provide for the risks that the company expects to take on in the next twelve months. A new certificate has to be given whenever there is a change in premium rates, or annually if no rates have changed. The certification is based on the whole portfolio of business. The regulations do not preclude particular product lines being written as loss leaders, provided that the certificate can be given for the whole expected portfolio of business. A Pricing Actuary who is unable to give a certificate must make a report to the Regulator.

A life insurance company has a Pricing Actuary who is an employee. The company writes a wide range of products, but 50% of its new business arises from annuities written on retirement of members of pension schemes. This market is becoming increasingly competitive, and in order to maintain market share the profitability of the annuity rates has been steadily reducing.

Fixed interest yields have recently reduced significantly, but the company has decided to leave annuity rates unchanged in the hope of increasing new business. The Pricing Actuary has some concerns about whether he can give the necessary certificate. The Chief Executive points out that as there is no change in premium rates, a new certificate is not required, and in any event the regulations permit products to be sold as loss leaders.

Outline the technical and professional issues that the Pricing Actuary should raise in his discussions with the company before deciding whether or not to give the certificate.

[16]

CA1-P1 | September 2008 | Q1

Current topic | 7 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 1**
- (i) Describe the three different types of advice that an actuary could provide. [3]
 - (ii) Discuss the professional considerations an actuary should take into account when providing advice to an insurance company regarding the implementation of a new accounting standard. [4]
- [Total 7]

CA1-P1 | September 2008 | Q4

[Current topic](#) | [16 marks total](#) | [Original PDF p2](#)

Related: Ch 17.

- 4** An individual aged 50 has been told that he will be made redundant from his job in one month's time. He has been offered an immediate early retirement pension from his employer's pension scheme and a redundancy cash payment. An actuary has been asked to give advice on how the individual could use the redundancy cash payment.

(i) Describe the further information that the actuary may need to gather. [8]

(ii) Discuss the features of the cash flow projections the actuary would carry out when giving advice. [8]

[Total 16]

CA1-P1 | September 2009 | Q3

Current topic | 10 marks total | Original PDF p2

Related: Ch 25.

3 A medium-sized family-owned company manufactures a range of industrial products.

(i) Outline the main sources of the operational risks that the company may face. [4]

(ii) State the aspects of the company's activities on which an actuary could provide advice. [6]

[Total 10]

CA1-P1 | September 2013 | Q3

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** A global company is looking to raise capital by disposing of business units that are underperforming. An actuarial consultancy has been asked to assess which units are underperforming and also suggest potential buyers for the units.

Describe the issues that need to be taken into account to ensure that the consultancy does a professional job. [10]

CA1-P1 | September 2015 | Q2

Current topic | 9 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

- 2** An actuarial consultancy is giving advice to a life insurance company that is designing a retirement income product for customers.
- (i)
 - (a) List the stakeholders who could be affected by the actuarial advice.
 - (b) Outline how the advice could affect the listed stakeholders. [6]
 - (ii) Outline the information about the life insurance company that should be sought in order to be able to give advice. [3]
- [Total 9]

CA1-P1 | April 2017 | Q1

[Current topic](#) | [5 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Outline the areas in which an actuary can advise upon the risks relating to contingent benefits. [5]

CP1-P1 | April 2020 | Q8

Current topic | 12 marks total | Original PDF p3

Related: Ch 26, Ch 14.

- 8** A wealthy individual has a large cash lump sum. He has asked an actuary to advise on how he might invest this sum to provide for himself and his family in retirement, and to be able to leave an amount as an inheritance.
- (i) Describe how the actuary would assess the individual's future liabilities. [4]
 - (ii) Identify four key risks, from the viewpoint of the individual, which the actuary should consider when giving their advice. [2]
 - (iii) Describe how each of the risks in (ii) might be mitigated. [6]
- [Total 12]

CP1-P1 | April 2020 | Q10

Current topic | 17 marks total | Original PDF p4

Related: Ch 3, Ch 7.

- 10** (i) Describe motor third-party liability insurance. [3]

In a certain country, motor third-party liability insurance is not compulsory. Its government is proposing to provide motor third-party liability insurance to all motorists and pay for the related claims.

- (ii) Suggest reasons for the government's proposal. [3]

- (iii) Describe the areas where an actuary could provide advice to the government in relation to the proposal. [6]

- (iv) Discuss how stakeholders, other than the government, might be affected if the proposal was implemented. [5]

[Total 17]

CP1-P1 | April 2021 | Q5

Current topic | 9 marks total | Original PDF p3

Related: Ch 16.

- 5** A pension scheme uses an algorithmic trading system for its investment in domestic equities.
- (i) Outline the potential risks associated with algorithmic trading for this pension scheme. [3]
 - (ii) Discuss the professional and technical standards that may apply to actuaries giving advice to a pension scheme. [6]
- [Total 9]